OPERATIONS · AS-IS DOCUMENT

KDPS
Current Workflow

How stock moves today — from booking, through the warehouse and head office, into the store, and out through sale, exchange, transfer, defective return, or seasonal return.

1. Overview

This document captures how stock moves through KDPS today, end-to-end — from booking to sale, exchange, transfer, defective return, or seasonal return. It is an as-is record of how things actually run; pain points are noted where they occur but are not addressed here.

The journey at a glance

- **Booking** — placed verbally with the vendor or city agent, sometimes with a written note alongside.
  - Branded orders: 6–8 months ahead of the season
  - Non-branded orders: 3–4 months ahead
  - Annual mix: **~70% branded · ~30% non-branded**
- **Sending & receiving**
  - Most branded shipments land at the store with the invoice; a few go to the warehouse
  - Non-branded shipments almost always land at the warehouse first (~99%)
  - Goods are physically counted at the warehouse against the vendor invoice
- **PT file** — the main KDPS document listing every item, its price, and its tax details. Built one of four ways depending on what the vendor sent:
  - Vendor's PT file converted into the KDPS format
  - PT file built from the invoice (with a call to the vendor for missing details, if needed)
  - Vendor's barcode and MRP tag retained as-is; MRP capped by the vendor
  - KDPS sets the MRP (base + 1.1% transport + GST + 30–35% margin) and prints the barcodes in-house when nothing is tagged
- **Head office processing**
  - GST and margin checked; PT file okayed
  - PT files are made by hand by people at the warehouse; the **Patna head office** then inwards the PT file into the current system
  - Stock split between stores by each store's past-sales share; PT travels with the stock
- **At the store**
  - The pending inward shows up on the store's POS login the moment the sender (head office, warehouse, or sister store) saves the transfer voucher — the quantity is visible *before* the goods reach the store
  - Each piece is scanned to inward; Received qty rises and Pending qty falls
  - Stock is now **sellable at the counter**

Ways a unit leaves the store

- **Counter sale** — barcode scanned, bill printed, stock comes off automatically.
- **Customer exchange** — MRP-to-MRP swap, valued against the original final bill; the customer pays the difference if the new item costs more.
- **Transfer to another store** — *MBO stores only* (EBOs do not move stock between themselves; that is handled directly between the brand and the EBO). Goods are sent by bus, courier, our own

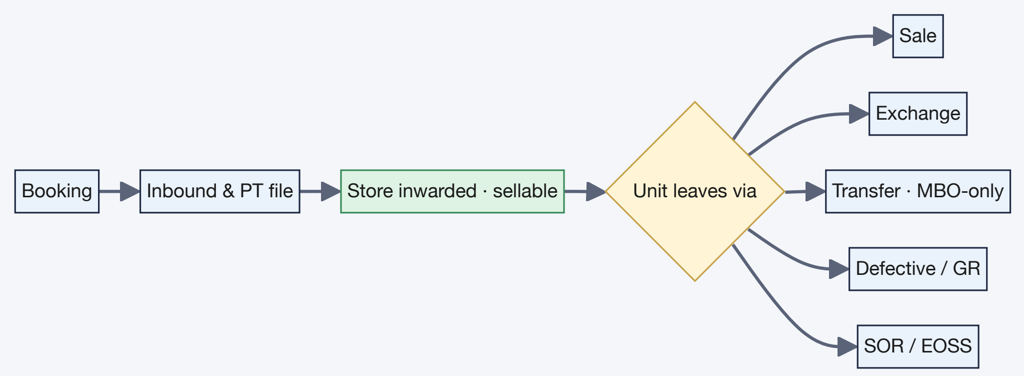
vehicle, or hand-carried; the bus or driver details are posted in a WhatsApp group.

- **Defective return to the brand** — picked up directly from the store (Madura brands), or brought to the warehouse first and sent from there (everyone else).
- **Seasonal SOR return** — unsold units sent back to the brand at the end of the season, within the agreed allowance.

End of season

- **Summer EOSS** ≈ August · **Winter EOSS** ≈ February
- The discount is either **given by the brand** (a flat % off a category) or **borne by KDPS** (old / unsold stock clearance)
- The brand margin usually drops from about 25% to about 18% during EOSS
- The POS should apply the active EOSS discount at billing and deduct stock immediately once the sale is completed
- Every EOSS bill should retain the offer rule, discount %, final selling price, cashier, approval status, and funding source for audit and reporting

> CONNECTING TISSUE
> The system today is part software and part manual. **WhatsApp** is the connecting tissue between the stores, the warehouse, and the head office — transfer confirmations, daily updates, and informal approvals all happen there.



2. Booking

Bookings are placed with the vendor or the city agent — mostly verbal, sometimes with a written note alongside.

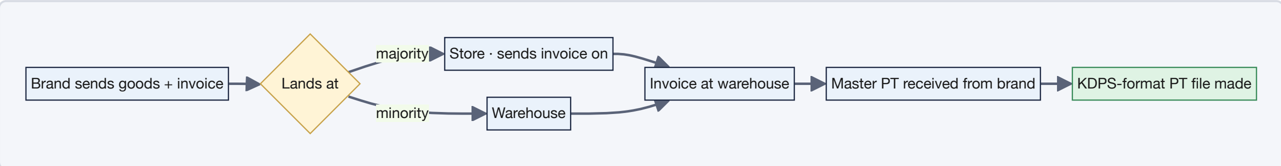
Type	Booked how far ahead	Share of annual buying
Branded	6–8 months ahead of the season	~70%
Non-branded	3–4 months ahead	~30%

3. Branded Inbound

The brand sends the goods along with the invoice. Most shipments land at the store; a few arrive at the warehouse.

What happens next:

1. If the goods land at the **store**, the store sends the invoice to the warehouse.
2. If the goods land at the **warehouse**, the invoice arrives with them.
3. The warehouse asks the brand for the brand's **master PT file**; it comes back in a few days — sometimes right away.
4. Using the invoice as a reference, the warehouse pulls the matching rows from the master PT file and makes the PT file in the KDPS format.



4. Non-Branded Inbound — Vendor's Barcode and Tag Present

About **99%** of non-branded stock comes to the warehouse. The other **1%** goes straight to a store only when the vendor's location requires it. The goods are counted by hand against the vendor invoice.

What happens next depends on what the vendor sent:

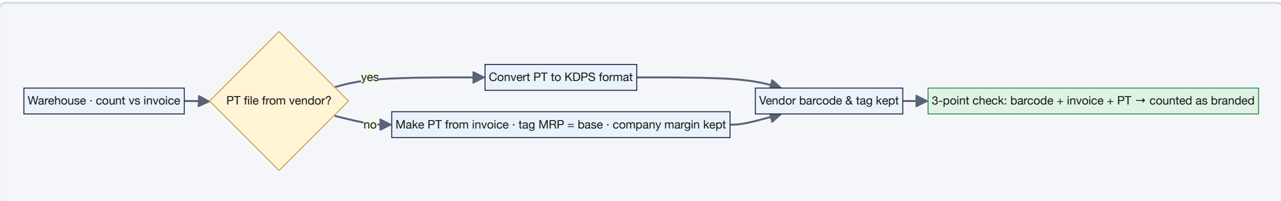
- **Vendor sent a PT file** — convert it into the KDPS format. The vendor's barcode and MRP tag are kept; the MRP on the tag is taken as final.
- **Only an invoice** — make the PT file from the invoice. If the invoice is not detailed enough, call the vendor for the missing details. KDPS does not make new barcodes or work out a new MRP — the tag MRP is the base and the company's usual margin is kept.

3-POINT CHECK · "COUNTED AS BRANDED"

A non-branded shipment is treated as branded only when **all three** of the following are there:

- The vendor's barcode and tag
- A proper detailed invoice
- A vendor PT file

If any one is missing, it stays in the non-branded flow.



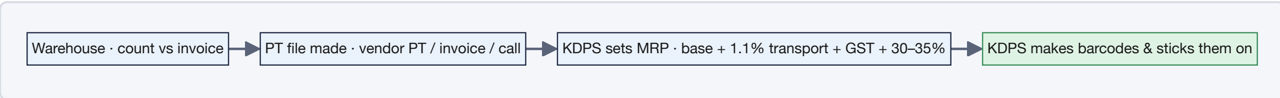
5. Non-Branded Inbound — Without Barcode

When the vendor sends no barcode, no MRP, and no tag, KDPS sets the MRP itself and tags the goods at the warehouse.

The MRP is worked out as:

- Base rate
- + 1.1% transport
- + GST
- + 30–35% margin

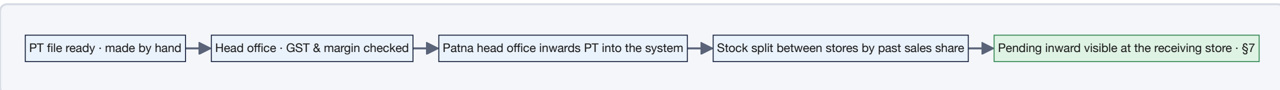
The PT file is made the same way as in Section 4 — from a vendor PT file, from the invoice, or after a call to the vendor.



6. PT-File Check & Head Office Inwarding

Every PT file — branded or non-branded — goes to the head office to be checked before the stock reaches the floor.

1. Head office checks the **GST and margin**, and okays the PT file.
2. Head office **inwards the PT file into the current system**. The PT files are made by hand by people at the warehouse; the inwarding happens at the **Patna head office**.
3. The stock is **split between stores by each store's past sales share** and sent along with the PT file.
4. The receiving store immediately sees the items as a **pending inward** on its POS login — the receiving side is covered in Section 7.

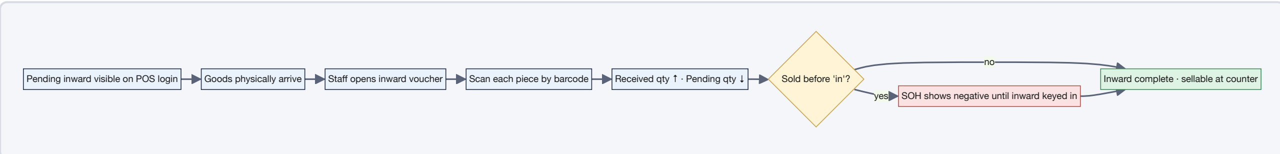


7. Store Inward

How a PT shipment becomes sellable stock at the receiving store.

1. The moment the sender (Patna head office, the warehouse, or a sister store sending a transfer) **saves the transfer voucher**, a pending inward shows up on this store's POS login — the quantity is visible *before* the goods arrive.
2. The goods arrive at the store. Inward happens daily.
3. Staff opens the matching inward voucher.
4. Each piece is scanned by its barcode. With every scan: **Received qty** ↑ and **Pending qty** ↓.
5. Once all pieces are scanned, the inward is done and the stock is **sellable at the counter**.

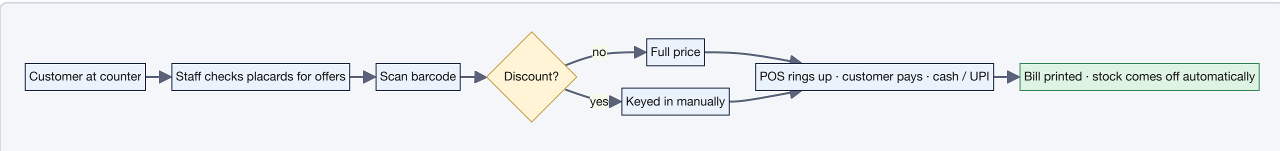
> **SELLING BEFORE "IN" — HOW IT WORKS TODAY**
>
> The goods are physically in hand the moment they arrive, so staff can sell a piece before the inward is typed in. In that case the item shows a **negative balance in SOH** (Stock on Hand) until the inward is done; on the next sync the system evens it out to the correct number. This is how the workflow actually runs today.



8. Counter Sale

At the counter:

1. Staff first check for **active offers on the placards** — the POS does not apply them automatically.
2. The barcode is scanned.
3. If the barcode reads cleanly and the POS is up, staff either ring up at **full price** or **key in the discount manually**.
4. Customer pays in cash or UPI.
5. The bill is printed and the stock comes off automatically.



9. Manual Billing Fallback

When the POS cannot finish a sale, the counter falls back to a paper bill so the customer is not held up. There are two cases — and they differ in who sorts the sale out afterwards.

A · POS is down or net is not working

1. The counter **cuts a handwritten / manual bill** — the customer is served right away.
2. Once the POS is back up (or the net is free), store staff **type the bill into the POS themselves**.
3. The stock then comes off automatically and the sale is matched in the system.

This is the normal recovery. Head office is not involved.

B · POS hangs in the middle of a transaction

1. It is not clear what happened — the bill may or may not have been recorded.
2. **Head office gets involved** to check what really happened and correct the entry — fixed the next day.

10. Customer Exchange

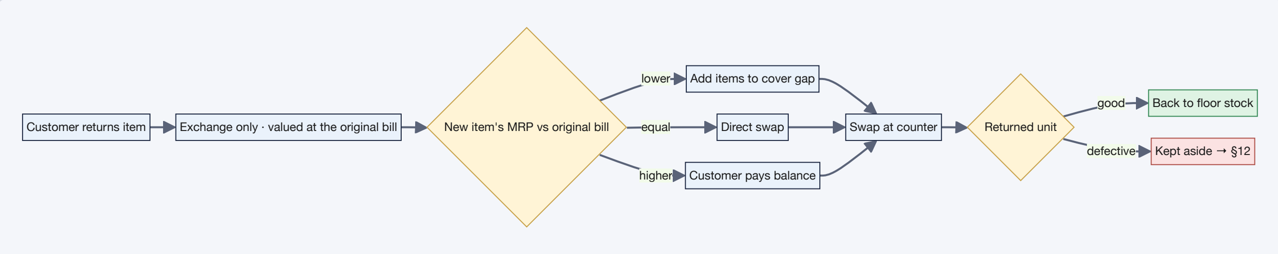
The rule is simple: an *MRP-to-MRP swap*, against what the customer actually paid on the original bill.

If the bill was ₹1,500 — after any discount — the customer can take ₹1,500 worth of exchange. Anything more than that is paid at the counter.

New item's MRP vs the original final bill	What happens at the counter
Lower	Customer adds more items — down to socks or handkerchiefs — to cover the gap
Equal	Direct swap
Higher	Customer pays the difference

After the swap:

- If the returned piece is in **good condition**, it goes back to sellable stock on the floor.
- If the returned piece is **defective**, it is kept aside and goes into the defective-return flow in Section 12.



11. Inter-Store Transfer

Stock transfer between stores is only for MBO stores. EBO stores do not move stock between themselves — that is handled directly between the brand company and the EBO.

Common reasons for a transfer between MBO stores:

- **Sister store needs the stock** — a customer is waiting at another store; the bill is made at the receiving store once the goods arrive.
- **Slow-moving stock** — an item has been sitting at one store for 3–4 months but is selling well at another.
- **Seasonal swap** — winter stock pulled out for summer (and the other way round); floor space is limited.
- **Free up floor space** — old-season stock sent back to the warehouse to make room for new arrivals.

How the transfer is made in the system:

1. Open the **Stock Transfer** screen and pick the receiving store.
2. Scan each piece by barcode. *For some brands like **Jockey**, entry is by style code from the PT file — that is how the brand's PT file is written.*
3. Save the voucher — a **PT file is made automatically**.
4. The receiving store immediately sees the items as **pending inward / "today's credit"** on its POS login, even before the goods reach them.

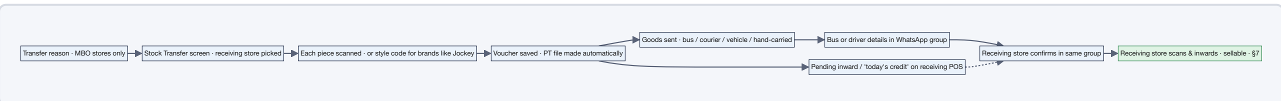
How the goods are sent:

- **Public bus** — most common, for nearby stores on regular routes; about two hours.
- **Courier / parcel service** — for longer routes or where a bus is not practical.
- **Our own or hired vehicle** — for bigger consignments or special cases.
- **Hand-carried by staff** — for very small or urgent transfers.

Whichever way the goods are sent:

1. The dispatcher hands the goods over to the transport.
2. The bus or driver details are posted in a dedicated **WhatsApp group**.
3. The receiving store confirms in the same group when the goods arrive.
4. The receiving store scans each piece to do the inward — see Section 7. The stock is now sellable at the new store.

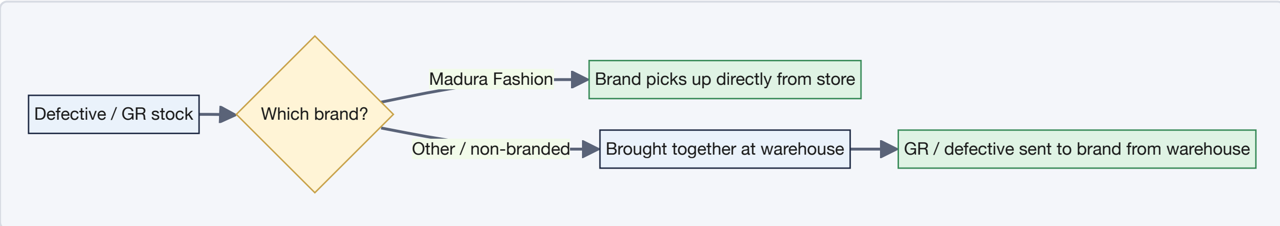
Transfers are almost instant — about two hours for a bus route — so the bus or driver details are not stored anywhere in the system today. **We will track transfers in the system later.**



12. Defective and GR Returns to the Brand

Defective stock — whether found on the floor or quarantined from a customer exchange — is returned to the brand by one of two routes, depending on the brand.

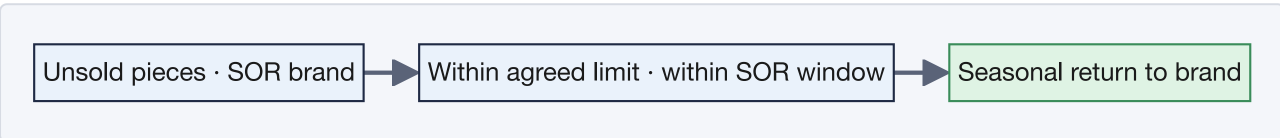
Brand	How the return is handled
Madura Fashion Allen Solly, Louis Philippe, Van Heusen, Peter England	The brand collects the defective and GR stock **directly from the store.**
All other brands and non-branded vendors	The defective stock first moves to the warehouse. Defective stock from every store is brought together there, and the GR or defective return is sent to the brand **from the warehouse**.



13. SOR Seasonal Return

For brands on **Sale-or-Return** terms, the unsold pieces (within the agreed limit) are sent back to the brand at the end of the season.

- This is a **separate path** from the defective / GR flow in Section 12.
- The return window for each brand is kept in the **Brand Master**.



14. EOSS / Discount

Two EOSS windows in the year:

- **Summer** — cleared around August
- **Winter** — cleared around February

Seasonal items are discounted at the end of the same season. Core items usually run their offer the following year.

Who gives the discount	Typical case
Brand	A flat percentage off a category
KDPS	Old / unsold stock clearance

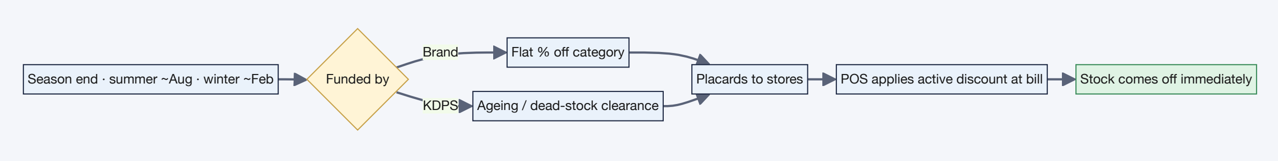
How discounts are given:

- Offers are sent to stores by **placards**.
- Discounts that the counter can give on its own are **typed in by hand** at billing.
- Brand margin usually drops from about **25% to 18%** during EOSS.
- Discounts bigger than what the counter can give need **higher-management approval**.

At the counter, the item is sold at the EOSS price, the bill is printed, payment is collected, and stock comes off immediately.

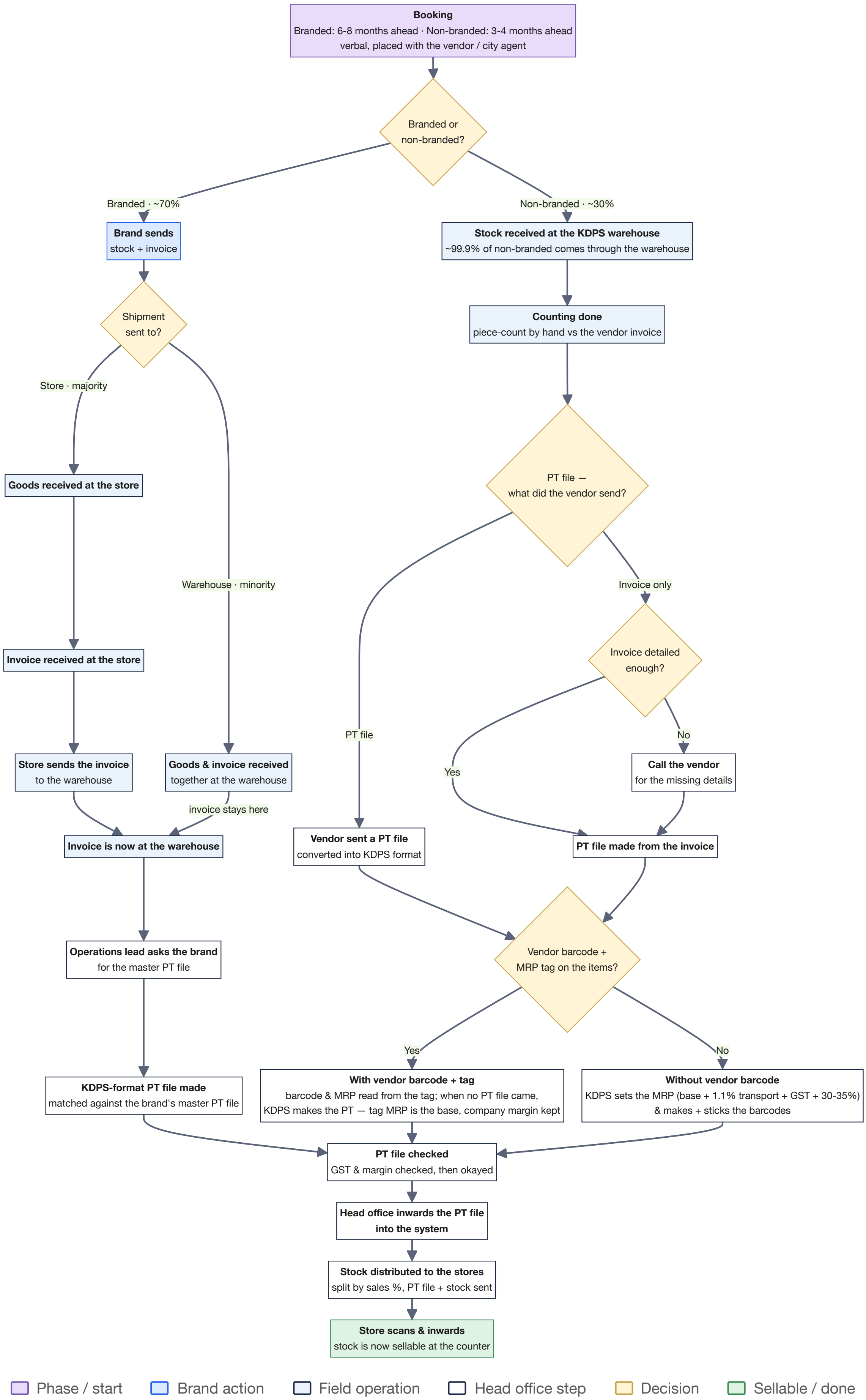
How the software should help:

- **Offer setup** — head office can configure EOSS rules by season, brand, category, style/SKU, barcode, store, date range, discount %, and funding source.
- **POS enforcement** — when the cashier scans the barcode, the POS should find the active EOSS rule and apply the correct discount automatically instead of depending only on placards.
- **Approval control** — discounts above the floor's limit or any manual override should require manager approval before the bill can be completed.
- **Audit trail** — each bill should store original MRP, discount %, final selling price, offer rule, cashier, approver if any, brand-funded or KDPS-funded flag, and timestamp.
- **Tracking** — daily reports should show sale stock sold, remaining EOSS stock, total discount given, margin impact, and exception bills where approval was used.

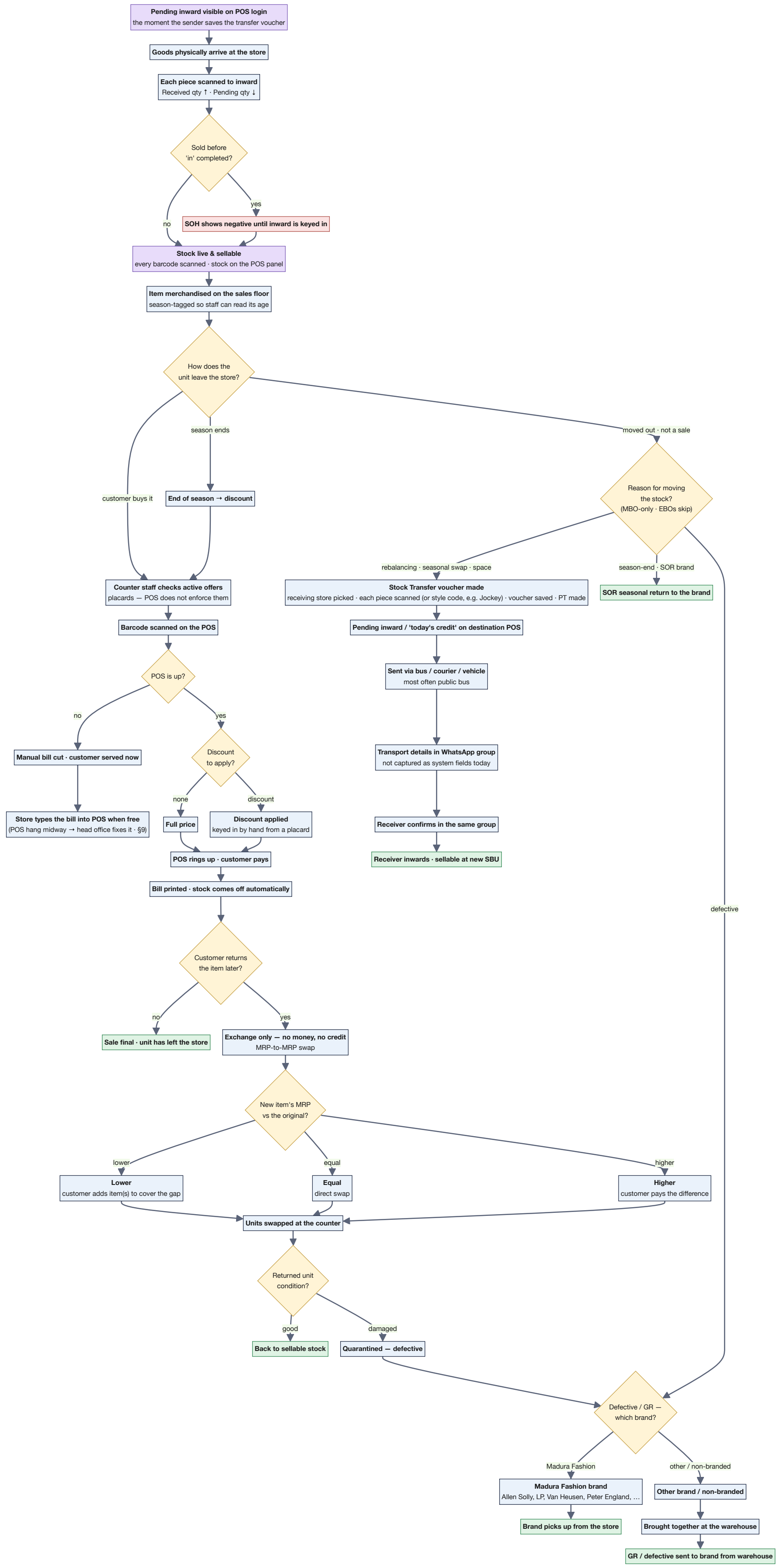


A Part 1 · Before the Store — end-to-end

APPENDIX



B Part 2 · Inside the Store — end-to-end (inward → exit) APPENDIX



Phase / start | Field operation | Head office step | Decision | Pain point / gap | Sellable / done